

The Complete Financial Guide for Young Couples

A growth goal should be the strategy of someone 50 years of age who is able to save \$1,000 a year toward retirement. The short period of time (15 years) and the limited funds (\$1,000 a year) dictate an aggressive growth strategy.

This would also be the case of our couple with \$10,000 to educate their children. They need an aggressive strategy that leans more toward risk-taking than preservation.

TAX SHELTER GOAL. The sixth and final goal in investing is tax sheltering. Tax sheltering is very complex. In fact over the last few years, for all intents and purposes, the federal government, through changes in the tax laws, has virtually shut down tax shelters other than depreciation and interest for the average investor. As I said before, it is often taught that paying interest is a good tax shelter. That is an old wives' tale. When you pay interest to save income tax, you lose and the lender gains.

However, depreciation and investment tax credits can be legitimate tax shelters. But an important principle to remember is that when you "defer" income tax through depreciation, you eventually must recapture it. Most tax shelters don't really eliminate income tax; they only defer it to a later time.

For instance, if you put money into a retirement plan such as an IRA, it is an excellent tax shelter. But you don't avoid the income taxes on your retirement funds. You delay them and are taxed later at a lower rate (hopefully) when you retire.

When you claim depreciation on rental property, you do not avoid paying income taxes. You defer them until a later period. When the property is sold, all of the depreciation that you claimed can be recaptured in income taxes. The only exception is if you use the property as a charitable gift; then you can claim a charitable deduction for the fair market value of the property and not have to repay the depreciated portion. *NOTE:* Frequent tax law changes can modify this deduction. The 1986 Tax Reform Act made such gifts subject to alternative minimum tax rules. Consult your CPA for details.

I could tell many horror stories about those I have coun-